Table 1: 2SLS Estimation Results

	(2)	(5)	(6)	(7)	(8)	(9)
Panel A: Main Estimates						
Democracy	2.570****	2.231**	2.211***	1.398*	2.731****	2.522*
	(0.762)	(0.972)	(0.766)	(0.738)	(0.769)	(1.296)
Observations	6309	6309	6309	6309	6181	6009
Countries in sample	174	174	174	174	173	173
Exc. Instruments F-stat.	29.6	21.1	16.0	16.3	16.8	0.8
Hansen p-value	0.192	0.266	0.300	0.098	0.082	0.179
Panel B: Long-Run Effects						
Long-run effect of democracy	59.364***	46.022**	49.186**	30.756*	64.911***	60.753*
	(21.043)	(22.028)	(19.369)	(17.716)	(22.017)	(33.590)
Effect of democracy after 25 years	50.678***	40.925**	42.707***	26.803*	54.766***	49.870*
	(16.918)	(19.209)	(16.209)	(15.041)	(17.341)	(26.108)
Persistence of GDP process	0.957****	0.952****	0.955****	0.955****	0.958****	0.958****
	(0.006)	(0.006)	(0.006)	(0.006)	(0.006)	(0.006)
Cumulative Regional GDP Effect	0.026****	0.015**	0.020***	0.010	0.025****	0.014
	(0.007)	(0.006)	(0.007)	(0.007)	(0.007)	(0.015)
N	6309	6309	6309	6309	6181	6009

Notes: Standard errors in parentheses. Panel A presents the main 2SLS estimates for the global sample. Panel B presents the long-run effects and related statistics. Stars indicate statistical significance: *** p<0.01, ** p<0.05, * p<0.10, **** p<0.001.

Table 2: First Stage Estimates

	(2)	(5)	(6)	(7)	(8)	(9)
Panel A: Democracy Wave Lags						
Democracy wave $t-1$	0.537****	0.490****	0.522****	0.508****	0.537****	0.586****
	(0.100)	(0.095)	(0.104)	(0.102)	(0.103)	(0.098)
Democracy wave $t-2$	0.133*	0.128	0.117	0.115	0.143*	0.131
	(0.079)	(0.080)	(0.079)	(0.078)	(0.077)	(0.088)
Democracy wave $t-3$	0.223***	0.226***	0.221***	0.223***	0.220***	0.281****
	(0.069)	(0.070)	(0.069)	(0.070)	(0.071)	(0.077)
Democracy wave $t-4$	-0.091	-0.122	-0.083	-0.064	-0.078	-0.115
	(0.110)	(0.104)	(0.113)	(0.113)	(0.111)	(0.115)
Panel B: Additional Statistics						
Persistence of GDP process	-0.000	-0.001	-0.000	-0.000	-0.000	-0.000
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Cumulative Regional GDP Effect	-0.000	-0.000	-0.001	-0.001	-0.000	-0.000
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Original Instrument	0.801****	0.722****	0.777****	0.780****	0.821****	0.884****
	(0.077)	(0.089)	(0.076)	(0.075)	(0.078)	(0.087)
Original Instrument	0.820****	0.732****	0.777****	0.780****	0.829****	0.889****
(Author's Regression)	(0.075)	(0.089)	(0.076)	(0.075)	(0.076)	(0.093)
Observations	6309	6309	6309	6309	6181	6009

Notes: Standard errors in parentheses. Panel A presents the first stage estimates for democracy wave lags. Panel B presents additional statistics from the first stage regressions. Stars indicate statistical significance: **** p<0.001, *** p<0.01, * p<0.10.

Table 3: 2SLS Estimation Results - Africa (Excl. MENA)

	(2)	(5)	(6)	(7)	(8)	(9)
Panel A: Main Estimates						
Democracy	-0.272	-0.272	-0.142	-1.459	-0.995	-1.999
	(2.298)	(2.298)	(1.568)	(1.203)	(2.027)	(4.857)
Observations	1783	1783	1783	1783	1742	1697
Countries in sample	45	45	45	45	45	45
Exc. Instruments F-stat.	2.2	2.2	2.5	5.1	2.2	0.5
Hansen p-value	0.763	0.763	0.589	0.765	0.911	0.584
Panel B: Long-Run Effects						
Long-run effect of democracy	-6.859	-6.859	-3.607	-36.292	-23.474	-42.610
	(57.752)	(57.752)	(39.607)	(29.260)	(47.621)	(104.412)
Effect of democracy after 25 years	-5.448	-5.448	-2.855	-29.046	-19.211	-36.537
	(46.068)	(46.068)	(31.438)	(24.065)	(39.386)	(89.445)
Persistence of GDP process	0.960****	0.960****	0.961****	0.960****	0.958****	0.953****
	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)	(0.010)
Cumulative Regional GDP Effect	0.009	0.009	0.002	-0.003	0.003	-0.061
	(0.013)	(0.013)	(0.012)	(0.013)	(0.009)	(0.093)
N	1783	1783	1783	1783	1742	1697

Notes: Standard errors in parentheses. Panel A presents the main 2SLS estimates for the Africa subsample. Panel B presents the long-run effects and related statistics. Stars indicate statistical significance: **** $p<0.001$.

Table 4: 2SLS Estimation Results - East Asia & Pacific

	(2)	(5)	(6)	(7)	(8)	(9)
Panel A: Main Estimates						
Democracy	-0.761	-0.761	-0.174	-0.204	-1.590*	-0.472
	(1.657)	(1.657)	(0.900)	(0.757)	(0.845)	(3.896)
Observations	653	653	653	653	629	610
Countries in sample	20	20	20	20	20	20
Exc. Instruments F-stat.	34.7	34.7	14.5	216.6	10.5	0.0
Hansen p-value	0.136	0.136	0.174	0.203	0.064	0.584
Panel B: Long-Run Effects						
Long-run effect of democracy	-22.239	-22.239	-4.532	-5.024	-74.606	-43.447
	(44.089)	(44.089)	(23.190)	(19.036)	(45.532)	(224.806)
Effect of democracy after 25 years	-15.332	-15.332	-3.341	-3.800	-38.621**	-18.900
	(31.572)	(31.572)	(17.092)	(14.185)	(19.203)	(121.123)
Persistence of GDP process	0.966****	0.966****	0.962****	0.959****	0.979****	0.989****
	(0.019)	(0.019)	(0.021)	(0.023)	(0.012)	(0.050)
Cumulative Regional GDP Effect	0.052*	0.052*	0.037	0.032	0.024	0.029
	(0.030)	(0.030)	(0.034)	(0.028)	(0.021)	(0.086)
N	653	653	653	653	629	610

Notes: Standard errors in parentheses. Panel A presents the main 2SLS estimates for the East Asia and Pacific subsample. Panel B presents the long-run effects and related statistics. Stars indicate statistical significance: **** p<0.001, ** p<0.05, * p<0.10.

Table 5: 2SLS Estimation Results - Europe & Central Asia

	(2)	(5)	(6)	(7)	(8)	(9)
Panel A: Main Estimates						
Democracy	2.956	2.956	2.956	2.956	3.006	6.569*
	(2.296)	(2.296)	(2.296)	(2.296)	(2.363)	(3.988)
Observations	635	635	635	635	635	608
Countries in sample	27	27	27	27	27	27
Exc. Instruments F-stat.	59.6	59.6	59.6	59.6	106.7	0.6
Hansen p-value	0.024	0.024	0.024	0.024	0.068	0.533
Panel B: Long-Run Effects						
Long-run effect of democracy	42.608	42.608	42.608	42.608	42.312	108.569
	(35.155)	(35.155)	(35.155)	(35.155)	(35.462)	(80.651)
Effect of democracy after 25 years	42.175	42.175	42.175	42.175	41.962	104.512
	(34.309)	(34.309)	(34.309)	(34.309)	(34.759)	(71.969)
Persistence of GDP process	0.931****	0.931****	0.931****	0.931****	0.929****	0.939****
	(0.016)	(0.016)	(0.016)	(0.016)	(0.017)	(0.027)
Cumulative Regional GDP Effect	0.214**	0.214**	-0.118	0.276**	0.237*	0.658
	(0.101)	(0.101)	(0.083)	(0.140)	(0.141)	(0.658)
N	635	635	635	635	635	608

Notes: Standard errors in parentheses. Panel A presents the main 2SLS estimates for the Europe and Central Asia subsample. Panel B presents the long-run effects and related statistics. Stars indicate statistical significance: **** p<0.001, ** p<0.05, * p<0.10.

Table 6: 2SLS Estimation Results - Industrialized Nations

	(2)	(5)	(6)	(7)	(8)	(9)
Panel A: Main Estimates						
Democracy	0.651	0.651	0.163	-0.194	0.611	2.741
	(0.921)	(0.921)	(1.100)	(1.043)	(0.903)	(1.810)
Observations	1139	1139	1139	1139	1139	1113
Countries in sample	26	26	26	26	26	26
Exc. Instruments F-stat.	1593.3	1593.3	6184.4	14835.2	2982.3	3.6
Hansen p-value	0.334	0.334	0.719	0.932	0.320	0.423
Panel B: Long-Run Effects						
Long-run effect of democracy	10.161	10.161	2.526	-3.002	9.531	37.071
	(14.759)	(14.759)	(17.170)	(15.949)	(14.408)	(24.515)
Effect of democracy after 25 years	9.741	9.741	2.419	-2.874	9.134	36.734
	(14.151)	(14.151)	(16.446)	(15.261)	(13.818)	(24.431)
Persistence of GDP process	0.936****	0.936****	0.936****	0.935****	0.936****	0.926****
	(0.015)	(0.015)	(0.015)	(0.015)	(0.014)	(0.016)
Cumulative Regional GDP Effect	-0.016	-0.016	-0.003	-0.002	-0.015	-0.082
	(0.037)	(0.037)	(0.043)	(0.042)	(0.037)	(0.054)
N	1139	1139	1139	1139	1139	1113

Notes: Standard errors in parentheses. Panel A presents the main 2SLS estimates for the INL subsample. Panel B presents the long-run effects and related statistics. Stars indicate statistical significance: **** $p<0.001$.

Table 7: 2SLS Estimation Results - Latin America & Caribbean

	(2)	(5)	(6)	(7)	(8)	(9)
Panel A: Main Estimates						
Democracy	-4.953**	-4.953**	-7.472*	-1.772	-4.067**	-3.914
	(2.288)	(2.288)	(4.435)	(2.364)	(2.053)	(2.441)
Observations	1352	1352	1352	1352	1295	1263
Countries in sample	33	33	33	33	32	32
Exc. Instruments F-stat.	8.7	8.7	5.1	8.0	4.2	1.1
Hansen p-value	0.138	0.138	0.191	0.176	0.269	0.111
Panel B: Long-Run Effects						
Long-run effect of democracy	-81.773**	-81.773**	-121.378*	-29.531	-72.174*	-78.296
	(38.479)	(38.479)	(69.016)	(38.886)	(39.342)	(49.950)
Effect of democracy after 25 years	-75.817**	-75.817**	-113.550*	-27.112	-64.639*	-68.252
	(34.823)	(34.823)	(65.140)	(36.003)	(33.722)	(42.278)
Persistence of GDP process	0.939****	0.939****	0.938****	0.940****	0.944****	0.950****
	(0.015)	(0.015)	(0.018)	(0.012)	(0.014)	(0.015)
Cumulative Regional GDP Effect	-0.050	-0.050	-0.116	-0.024	-0.040	-0.012
	(0.035)	(0.035)	(0.086)	(0.055)	(0.032)	(0.038)
N	1352	1352	1352	1352	1295	1263

Notes: Standard errors in parentheses. Panel A presents the main 2SLS estimates for the Latin America and Caribbean subsample. Panel B presents the long-run effects and related statistics. Stars indicate statistical significance: **** p<0.001, ** p<0.05, * p<0.10.

Table 8: 2SLS Estimation Results - Middle East & North Africa

	(2)	(5)	(6)	(7)	(8)	(9)
Panel A: Main Estimates						
Democracy	0.839	0.839	0.839	0.839	0.961	-4.886
	(0.802)	(0.802)	(0.802)	(0.802)	(0.858)	(9.392)
Observations	482	482	482	482	480	464
Countries in sample	16	16	16	16	16	16
Exc. Instruments F-stat.	30441.9	30441.9	30441.9	30441.9	22630.5	0.1
Hansen p-value	0.784	0.784	0.784	0.784	0.915	
Panel B: Long-Run Effects						
Long-run effect of democracy	9.409	9.409	9.409	9.409	10.516	-46.703
	(10.928)	(10.928)	(10.928)	(10.928)	(12.132)	(84.500)
Effect of democracy after 25 years	9.080	9.080	9.080	9.080	10.196	-44.241
	(10.327)	(10.327)	(10.327)	(10.327)	(11.445)	(76.689)
Persistence of GDP process	0.911****	0.911****	0.911****	0.911****	0.909****	0.895****
	(0.025)	(0.025)	(0.025)	(0.025)	(0.030)	(0.045)
Cumulative Regional GDP Effect	0.172	0.172	0.034	0.252	0.182	-8.840
	(0.165)	(0.165)	(0.273)	(0.387)	(0.156)	(14.806)
N	482	482	482	482	480	464

Notes: Standard errors in parentheses. Panel A presents the main 2SLS estimates for the Middle East and North Africa subsample. Panel B presents the long-run effects and related statistics. Stars indicate statistical significance: **** $p<0.001$.

Table 9: 2SLS Estimation Results - South Asia

	(2)	(5)	(6)	(7)	(8)	(9)
Panel A: Main Estimates						
Democracy	0.350	0.350	-1.402	-0.640	-3.777	-11.026
	(3.411)	(3.411)	(2.126)	(1.240)	(3.854)	(8.963)
Observations	265	265	265	265	261	254
Countries in sample	7	7	7	7	7	7
Exc. Instruments F-stat.	1.5	1.5	16.2	20.0	2.7	0.1
Hansen p-value						
Panel B: Long-Run Effects						
Long-run effect of democracy	6.802	6.802	-20.820	-8.367	-48.207	-161.115
	(68.445)	(68.445)	(30.675)	(15.631)	(41.870)	(129.184)
Effect of democracy after 25 years	4.571	4.571	-16.088	-6.742	-39.493	-127.642
	(44.838)	(44.838)	(24.593)	(13.136)	(37.375)	(122.805)
Persistence of GDP process	0.949****	0.949****	0.933****	0.923****	0.922****	0.932****
	(0.024)	(0.024)	(0.021)	(0.023)	(0.018)	(0.028)
Cumulative Regional GDP Effect	-0.083	-0.083	-0.085	-0.122	-0.089	-0.006
	(0.073)	(0.073)	(0.070)	(0.077)	(0.076)	(0.344)
N	265	265	265	265	261	254

Notes: Standard errors in parentheses. Panel A presents the main 2SLS estimates for the South Asia subsample. Panel B presents the long-run effects and related statistics. Stars indicate statistical significance: **** $p<0.001$.

Table 10: 2SLS Estimation Results — Excluding Latin America & Caribbean

	(2)	(5)	(6)	(7)	(8)	(9)
Panel A: Main Estimates						
Democracy	4.295***	3.997**	4.016**	1.656	4.520***	8.039*
	(1.479)	(1.966)	(1.622)	(1.298)	(1.506)	(4.848)
Observations	4957	4957	4957	4957	4886	4746
Countries in sample	141	141	141	141	141	141
Exc. Instruments F-stat.	12.6	9.6	7.9	5.8	7.5	0.2
Hansen p-value	0.054	0.090	0.155	0.107	0.022	0.961
Panel B: Long-Run Effects						
Long-run effect of democracy	104.657**	86.682*	95.781**	38.300	113.578**	223.577
	(43.315)	(47.315)	(45.137)	(32.591)	(46.058)	(168.514)
Effect of democracy after 25 years	87.728***	76.069*	81.181**	32.889	93.978***	163.477*
	(33.518)	(40.300)	(35.816)	(27.099)	(34.770)	(97.666)
Persistence of GDP process	0.959****	0.954****	0.958****	0.957****	0.960****	0.964****
	(0.007)	(0.006)	(0.006)	(0.006)	(0.007)	(0.010)
Cumulative Regional GDP Effect	0.029****	0.017**	0.026**	0.010	0.028***	0.004
	(0.008)	(0.008)	(0.010)	(0.009)	(0.009)	(0.026)
N	4957	4957	4957	4957	4886	4746

Notes: Standard errors in parentheses. Panel A presents the main 2SLS estimates excluding Latin America and Caribbean countries. Panel B presents the long-run effects and related statistics. Stars indicate statistical significance: **** p<0.001, *** p<0.01, ** p<0.05, * p<0.10.

Table 11: 2SLS Estimation Results — EU Countries

	(2)	(5)	(6)	(7)	(8)	(9)
Panel A: Main Estimates						
Democracy	1.849**	1.548*	1.946*	0.164	1.643*	0.636
	(0.864)	(0.856)	(1.132)	(0.503)	(0.991)	(1.308)
Observations	990	990	990	990	990	963
Countries in sample	27	27	27	27	27	27
Exc. Instruments F-stat.	76.1	70.5	45.2	99.6	38.1	1.1
Hansen p-value	0.144	0.125	0.065	0.314	0.430	0.020
Panel B: Long-Run Effects						
Long-run effect of democracy	23.068**	18.346*	24.223*	2.327	20.376*	7.406
	(10.601)	(10.985)	(13.972)	(7.146)	(11.530)	(15.250)
Effect of democracy after 25 years	23.187**	18.412*	24.347*	2.326	20.478*	7.423
	(10.699)	(11.081)	(14.084)	(7.147)	(11.598)	(15.299)
Persistence of GDP process	0.920****	0.916****	0.920****	0.930****	0.919****	0.914****
	(0.019)	(0.022)	(0.018)	(0.014)	(0.018)	(0.023)
Cumulative Regional GDP Effect	0.025*	0.034*	0.026**	-0.001	0.019	-0.009
	(0.015)	(0.019)	(0.013)	(0.008)	(0.019)	(0.027)
N	990	990	990	990	990	963

Notes: Standard errors in parentheses. Panel A presents the main 2SLS estimates for the European Union subsample. Panel B presents the long-run effects and related statistics. Stars indicate statistical significance: **** p<0.001, ** p<0.05, * p<0.10.

Table 12: 2SLS Estimation Results — Global with EU Dummy

	(2)	(5)	(6)	(7)	(8)	(9)
Panel A: Main Estimates						
Democracy	2.622****	2.362**	2.272***	1.462**	2.799****	2.605*
	(0.755)	(0.979)	(0.751)	(0.705)	(0.766)	(1.332)
Observations	6309	6309	6309	6309	6181	6009
Countries in sample	174	174	174	174	173	173
Exc. Instruments F-stat.	29.1	20.6	15.9	16.5	16.8	0.9
Hansen p-value	0.167	0.246	0.260	0.086	0.075	0.162
Panel B: Long-Run Effects						
Long-run effect of democracy	60.746***	48.809**	50.695***	32.308*	66.745***	63.088*
	(21.182)	(22.396)	(19.275)	(17.215)	(22.285)	(34.769)
Effect of democracy after 25 years	51.772***	43.365**	43.945***	28.088*	56.217***	51.595*
	(16.929)	(19.471)	(16.047)	(14.530)	(17.445)	(26.889)
Persistence of GDP process	0.957****	0.952****	0.955****	0.955****	0.958****	0.959****
	(0.006)	(0.006)	(0.006)	(0.006)	(0.006)	(0.006)
Cumulative Regional GDP Effect	0.027****	0.017**	0.021***	0.011	0.026****	0.014
	(0.007)	(0.007)	(0.007)	(0.007)	(0.007)	(0.016)
N	6309	6309	6309	6309	6181	6009

Notes: Standard errors in parentheses. Panel A presents the main 2SLS estimates for the global sample with European Union controls. Panel B presents the long-run effects and related statistics. Stars indicate statistical significance: **** p<0.001, *** p<0.01, ** p<0.05, * p<0.10.

Table 13: 2SLS Estimation Regional Diagnostics

	Global*	LAC	—LAC	EU	EU Dummy
Panel A: Main Estimates					
Democracy	2.570****	-4.953**	4.295***	1.849**	2.622****
	(0.762)	(2.288)	(1.479)	(0.864)	(0.755)
Observations	6309	1352	4957	990	6309
Countries in sample	174	33	141	27	174
Exc. Instruments F-stat.	29.6	8.7	12.6	76.1	29.1
Hansen p-value	0.192	0.138	0.054	0.144	0.167
Panel B: Long-Run Effects					
Long-run effect of democracy	59.364***	-81.773**	104.657**	23.068**	60.746***
	(21.043)	(38.479)	(43.315)	(10.601)	(21.182)
Effect of democracy after 25 years	50.678***	-75.817**	87.728***	23.187**	51.772***
	(16.918)	(34.823)	(33.518)	(10.699)	(16.929)
Persistence of GDP process	0.957****	0.939****	0.959****	0.920****	0.957****
	(0.006)	(0.015)	(0.007)	(0.019)	(0.006)
Cumulative Regional GDP Effect	0.026****	-0.050	0.029****	0.025*	0.027****
	(0.007)	(0.035)	(0.008)	(0.015)	(0.007)
N	6309	1352	4957	990	6309

Notes: Standard errors in parentheses. Panel A presents the main 2SLS estimates with Column 2 specifications (4 lags of GDP & Regional GDP) for Latin America & Caribbean, Global excluding Latin America & Caribbean, European Union, Global with EU Dummy, respectively by column. Panel B presents the long-run effects and related statistics. Stars indicate statistical significance: **** p<0.001, *** p<0.01, ** p<0.05, * p<0.10.